

TABLE 10.1 Product Allocation: A More Technical Look
(Spend 5.2% of the Nest Egg, Adjusted for Inflation)

Lifetime Pay-out Income Annuities (LPIA)	Guarantee Living Income Benefits (GLiB)	Systematic Withdrawal Plan (SWiP)	Retirement Sustainability Quotient (RSQ)	Expected Discounted Bequest (EDB)
29.1%	52.0%	18.9%	94.45%	\$22,000
23.9%	51.8%	24.3%	92.84%	\$23,000
18.6%	51.6%	29.8%	91.23%	\$24,000
13.3%	51.4%	35.3%	89.63%	\$25,000
8.1%	51.2%	40.8%	88.02%	\$26,000
2.8%	51.0%	46.2%	86.41%	\$27,000
0.0%	37.2%	62.9%	84.63%	\$28,000

Assumptions: Risk free rate = 3%; 100% equity allocation;
Equity: expected returns = 7%, volatility = 18%; GLiB insurance fee = 1.3%, LPIA insurance load = 7%
Source: Moshe Milevsky and the IFID Centre, 2008.

Some Case Studies

Meet three hypothetical individuals named Albert, Denise, and Edward, all of whom are seeking retirement product allocation advice. Let’s briefly examine their retirement priorities and economic trade-offs.

Albert’s Top Retirement Priority: Large Bequest

Albert is 62-years-old and has spent most of his life working for the same company. He is thinking of taking early retirement, because as a result of his many years of service, he is entitled to a generous defined benefit (DB) pension that will provide him with approximately \$45,000 per year, plus an annual cost-of-living adjustment. Moreover, in addition to his pension, he also has accumulated approximately \$200,000 in a company 401(k) account that he plans to roll over into an IRA as soon as he retires. And so, Albert needs *product allocation*